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NVIDIA Corp Earnings Call [View on the Bloomberg Terminal](#)

08/27/25

Guidance

- Q3 FY2026 total revenue is expected to be \$54 billion ($\pm 2\%$), representing over \$7 billion sequential growth. This guidance does not include any H20 shipments to China customers.
- Q3 gross margins guidance: - GAAP: 73.3% (± 50 bps) - Non-GAAP: 73.5% (± 50 bps) Company expects to exit the year with non-GAAP gross margins in mid-70s
- Q3 operating expenses forecast: - GAAP: ~\$5.9 billion - Non-GAAP: ~\$4.2 billion
- Full year operating expenses are expected to grow in high 30s percentage range year-over-year, up from previous mid-30s expectations
- Q3 other income/expenses expected to be approximately \$500 million income (excluding equity securities gains/losses)
- Q3 tax rates expected to be 16.5% ($\pm 1\%$) for both GAAP and non-GAAP

Margin Story

- GAAP gross margin was 72.4% and non-GAAP gross margin was 72.7% in Q2, including a 40 basis point benefit from H20 inventory release. Without this benefit, non-GAAP margin would have been 72.3%
- For Q3, NVIDIA expects GAAP and non-GAAP gross margins of 73.3% and 73.5% respectively (± 50 basis points), with expectations to exit the year with non-GAAP gross margins in the mid-70s
- Jensen Huang emphasized that NVIDIA's performance per dollar spent leads to excellent margins for customers

AI Strategy

- NVIDIA sees a massive \$3-4 trillion AI infrastructure spending opportunity by the end of the decade
- AI has evolved from simple chatbots to more sophisticated "reasoning agentic AI" that can research, plan and use tools, requiring 100-1000x more computation
- The company's Blackwell platform achieved significant AI performance improvements, including:
 - 7x faster training than H100 for large language models
 - 10x improvement in token-per-watt energy efficiency
 - 50x increase in energy efficiency per token compared to Hopper
- Major AI companies including OpenAI, Meta, Mistral, AWS, Google Cloud, and Microsoft Azure have adopted NVIDIA's Blackwell platform
- The AI startup ecosystem is growing rapidly, with funding increasing from \$100B last year to \$180B this year, while revenue from top AI-native startups grew from \$2B to \$20B

Cloud Strategy

- Major cloud service providers are adopting NVIDIA's Blackwell platform, with GB200 NVL systems seeing widespread deployment
- The transition to GB300 has been smooth for cloud providers due to architectural compatibility

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- • NVIDIA's presence across all major cloud platforms is strategic, offering energy efficiency and economic benefits
- • Cloud service provider capital expenditure has grown significantly
- • GeForce NOW cloud gaming service is being upgraded with Blackwell technology

Orders

- • H100 and H200 GPUs are currently sold out, with large cloud service providers having to rent capacity from other CSPs
- • For H20 chips in China, NVIDIA has received initial licenses and has supply ready, with potential to ship \$2-5 billion this quarter if geopolitical issues are resolved. They could build more if they receive more orders
- • NVIDIA has "reasonable forecasts" from large customers for next year, with "very, very significant forecast" numbers

Inventory

- • Inventory increased from \$11 billion to \$15 billion in Q2 2025, driven by the ramp of Blackwell and Blackwell Ultra
- • The company released previously reserved H20 inventory, which provided a 40 basis point benefit to gross margins
- • NVIDIA has supply ready for H20 shipments to China pending resolution of geopolitical issues and licenses

Competition

- • Jensen Huang addressed competition from ASICs, noting that while many ASIC projects are started, few make it to production due to the complexity of accelerated computing and the full stack co-design requirements
- • NVIDIA maintains competitive advantages through its broad availability across clouds and platforms, making it the default choice for new model architectures
- • The company differentiates itself through superior energy efficiency and economics, which directly impacts customer revenue potential
- • In networking, NVIDIA competes with three distinct technologies (NVLink, InfiniBand, and Ethernet), with each serving different market needs

Market Share

- • The United States represents approximately 60% of the world's computing market
- • China represents the second largest computing market globally and houses about 50% of the world's AI researchers
- • For gigawatt AI factory infrastructure spending, NVIDIA represents approximately \$35 billion out of \$50-60 billion total cost
- • Singapore represented 22% of Q2 billed revenue, though over 99% of data center compute revenue billed to Singapore was actually for US-based customers

Capital Allocation

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- Buybacks & Dividends: • NVIDIA returned \$10 billion to shareholders through share repurchases and dividends in Q2
- • The Board approved a new \$60 billion share repurchase authorization, adding to the remaining \$14.7 billion authorization from Q2
- Capex: • The top 4 hyperscalers' capex has doubled in two years to \$600 billion per year
- • Data center infrastructure and compute capex is expected to reach \$600 billion this calendar year, nearly doubling in two years

M&A

- The only mention of M&A in the document was a brief reference to NVIDIA's past acquisition of Mellanox from about 5.5 years ago, which was mentioned in the context of discussing NVIDIA's networking capabilities.

Labor

- • Operating expenses increased partly due to "higher compensation and benefit costs"
- • The company is increasing investments in the business, with operating expenses expected to grow in the "high 30s range year-over-year"

Macro Environment

- • GDP was mentioned in the context of AI compute distribution globally, with Jensen Huang noting that AI compute would likely reflect GDP scale and growth over time

Supply Chain

- • NVIDIA has successfully converted factory builds to support GB300 ramp and is now producing approximately 1,000 racks per week, with output expected to accelerate in Q3 as additional capacity comes online
- • Rubin platform will be NVIDIA's third-generation NVLink rack-scale AI supercomputer with a mature and full-scale supply chain
- • The company increased inventory from \$11 billion to \$15 billion in Q2 to support the ramp of Blackwell and Blackwell Ultra
- • Lead times from wafer to rack completion are approximately 12 months

Pricing

- • The company highlighted that their performance per dollar spent provides excellent gross margins for customers
- • For AI factories, NVIDIA's performance efficiency helps drive customer revenue generation and margins

Product Development

- • NVIDIA began production shipments of GB300 (Blackwell Ultra) in Q2, with current production at approximately 1,000 racks per week and expected to accelerate in Q3
- • The Rubin platform is in development with all key chips (Vera CPU, Rubin GPU, CX9 SuperNIC, NVLink 144 switch, Spectrum-X switch, Silicon Photonics processor) currently in fab and on

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schedule for volume production next year

- NVIDIA introduced Spectrum-XGS Ethernet technology for unifying data centers into giga-scale AI superfactories
- The company launched Jetson Thor, a new robotics computing platform that delivers significantly improved AI performance compared to previous generations
- In gaming, NVIDIA shipped the GeForce RTX 5060 Desktop GPU and announced Blackwell is coming to GeForce NOW in September

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